NETFLIX IN INDIA

Exploring why Netflix's growth lags in India's OTT market and how to fix it.

Outline

- **Understanding the business problem of Netflix.**
    - Market Share
    - Revenue Growth Rate
    - Subscriber count
- **Netflix's Business Problem Statement**
- **Growth Function of Indian OTT Market**
    - Subscriber Growth
    - Revenue ↔ Retention ↔ Pricing ↔ Paid subscriber correlation
- **Competitive Analysis based on growth variables of OTT**
- **Insights from Netflix Users of different personas**
- **Netflix's positioning based on User and Competitive Insights**
- **Segment Netflix is Targeting**
- **Netflix's First Principle**
- **Entertainment Sources**
- **Entertainment as a function of Freedom**
- **Formulating the real User Problem**
- **Detailed Product Requirements**
- **Why did I chose Netflix?**

Market Share in %

Platform	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025
Disney Hotstar	23	27	29	23	26
Amazon Prime Video	20	21	22	23	24
Netflix (India)	**18**	**12**	**13**	**16**	**17**
ZEE5	10	10	11	11	11
SonyLIV	4	4	4	4	3
ALTBalaji (ALTT)	2	2	2	3	<1

The Bottom Line

- **Netflix remains a distant third in the Indian market. With Disney Hotstar and Amazon Prime Video controlling nearly 50% of the market combined**

Revenue in 100 crores

Platform	FY 2021	FY 2022	FY 2023	FY 2024	FY 2025
Netflix (India)	15.3	17.5	22.1	28.5	37.7
Disney+ Hotstar	16.7	32.2	43.4	29.8	23.0
Amazon Prime Video	9.2	12	16.3	20.5	25.6
Zee5	4.2	5.5	7.4	9.1	9.8
SonyLIV	4.0	5.1	7.0	8.2	9.1
ALTBalaji	0.6	1.0	0.8	0.5	0.5

Source: MCA

Behind the Numbers

- **Netflix achieved a 63% jump in net profit in FY25, reaching ₹85 crore, with an operating margin of ~1-2%.**

Subscriber Count in Millions

Platform	FY2021	2022	2023	2024	2025	2026 (Q1)
Disney Hotstar	45.9 (O)	61.3 (O)	37.6 (O)	35.5 (O)	273.0 (O)	300+ (O)
Amazon Prime Video	~17.0 (E)	~20.0 (E)	~23.0 (E)	~26.0 (E)	~65.9 (E)	~67.0 (E)
Netflix (India)	~5.5 (E)	~6.5 (E)	~10.0 (E)	~12.3 (E)	~15.5(E)	~17.0 (E)
Zee5	~10.0 (E)	~12.0 (E)	~15.0 (E)	~18.0 (E)	~21.0 (E)	~22.5 (E)
SonyLIV	~6.0 (E)	~7.0 (E)	~8.0 (E)	~10.0 (O)	~12.0 (E)	~14 (E)
ALTBalaji	~6.0 (E)	~12.0 (E)	~11.0 (E)	~9.5 (E)	~8.2 (E)	~7.5 (E)

Source: Official Disclosures (O), Industry Estimates (E) from reputable trackers like ***Media Partners Asia (MPA) Ormax Media****, and* ***FICCI-EY***

What's the Story Here?

● Netflix lags significantly behind competitors like Disney Hotstar (300+ million subscribers) and Amazon Prime Video (67 million subscribers)

Netflix's Business Problem in India

Despite steady growth in both revenue (from approximately INR 28 Cr in FY 24 to around INR 38 Cr in FY 25) and subscriber count (from 15 million in FY 25 to 17 million in Q1 of FY 26).

Netflix India lags significantly behind competitors like Disney Hotstar (300+ million subscribers) and Amazon Prime Video (67 million subscribers).

Let's get to the foundational problem that is causing low revenue.

Growth Function of Indian OTT

We can say that subscriber growth in OTT market is a function of:

Subscriber Growth = f(Content Strategy, Pricing, Marketing, Product/Tech Experience, Partnerships)

Also revenue for a month can be written as:

Revenue = Average subscription plan price * (rr*Paid subscribers at T-1 month + new subscribers gained in T month)

rr = retention rate

Let's do a competitive analysis based on content strategy…and pricing.

Why? because given that content and price is one of the most important variable of growth, it becomes important to identify a pattern between Netflix and other OTTs and articulate the segregation.

Competitive Analysis: Content Strategy

Platform	Original Content	Licensed/Generic Content	Regional Content	Exclusive Events (Live)
Netflix	**- Sacred Games, Delhi Crime, She, Lust Stories. - Globally recognized originals (Stranger Things)**	**- Hollywood blockbusters (The Irishman, Bird Box). - Licensed content (Friends)**	**- Regional originals like Paava Kadhaigal (Tamil). - Regional adaptations (Kota Factory – Hindi)**	**- NFL, US based only**
Disney+ Hotstar	- Aarya, Special Ops, Criminal Justice. - Indian originals like Grahan	- HBO shows (Game of Thrones, Succession) - Marvel and Star Wars franchises (Loki, The Mandalorian)	- Indian TV serials (Yeh Rishta Kya Kehlata Hai). - Regional content in Tamil, Telugu, Bengali.	- IPL cricket, ICC tournaments, football leagues. - Reality shows (Bigg Boss)
JioCinema	- Bigg Boss OTT, The Gone Game	- HBO content (The Last of Us, House of the Dragon)	- Regional movies in Marathi, Bengali, Tamil.	- IPL cricket, FIFA World Cup
ZEE5	- Rangbaaz, Abhay, Kaafir	- Syndicated Zee TV serials	- Strong regional focus in Tamil, Marathi, and Bengali	Not applicable
ALTBalaji	- Gandii Baat, Broken But Beautiful	- Very limited licensed content	- Hindi-centric content with limited regional focus	Not applicable
SonyLIV	- Scam 1992, Avrodh, Undekhi	- Licensed Hollywood movies and Indian TV serials	- Regional shows in Tamil, Telugu, Malayalam	- Live sports (UEFA Champions League, WWE)

The pattern.

Platform	Observation	Pricing
Netflix	**Strong focus on original content in both English and regional languages. Low frequency releases. International licensed content. Few regional licensed content.**	**Mobile Plan: ₹149/month – 1 mobile device, SD quality.Basic Plan: ₹199/month – 1 device, SD quality.Standard Plan: ₹499/month – 2 devices, HD quality.Premium Plan: ₹649/month – 4 devices, Ultra HD quality.**
Hotstar	Strong focus on regional and multilingual content. High frequency original releases. Regional licensed content. Competing with Jio for live sport events.	Premium: 499/3 months – 4 devices, 4k, Ultra HD.Super: 299/3 months – 2 devices, 1080p
JioCinema	A strong focus on licensed content for both regional and international. Strong focus on daily SOAP. Has a free tier with ads.	Premium: 29/1 month, 1 device, 4k, ad free only on non sport content.Family: 89/1 month, 4 devices, 4k
SonyLiv	A lot of free content. Focus on sports content. Decent originals. Major focus on licensed and regional soaps Sony content. High frequency original releases.	Premium Monthly: 399, 5 devices, 4k.Premium Annual: 1499, 5 devices, 4k.Mobile Only Annual: 699, 720p

Not many insights yet, right? we will get to it… ;)

Let's first answer this question.

If you were to watch a Bollywood movie, say Lagaan or 3 Idiots, would you go on Netflix to search for it?

What users have to say…

I did a small and casual interview or more like a normal chit-chat
with the below themes, with existing Netflix & other OTT users to unlock some insights:

Themes

1. Which OTT platform you prefer and why?
2. How did you sign up for Netflix for the very first time?
3. What did you last watch on Netflix, and how did you find it?
4. What is your streaming frequency and what is the pattern?

Insights from Netflix Users

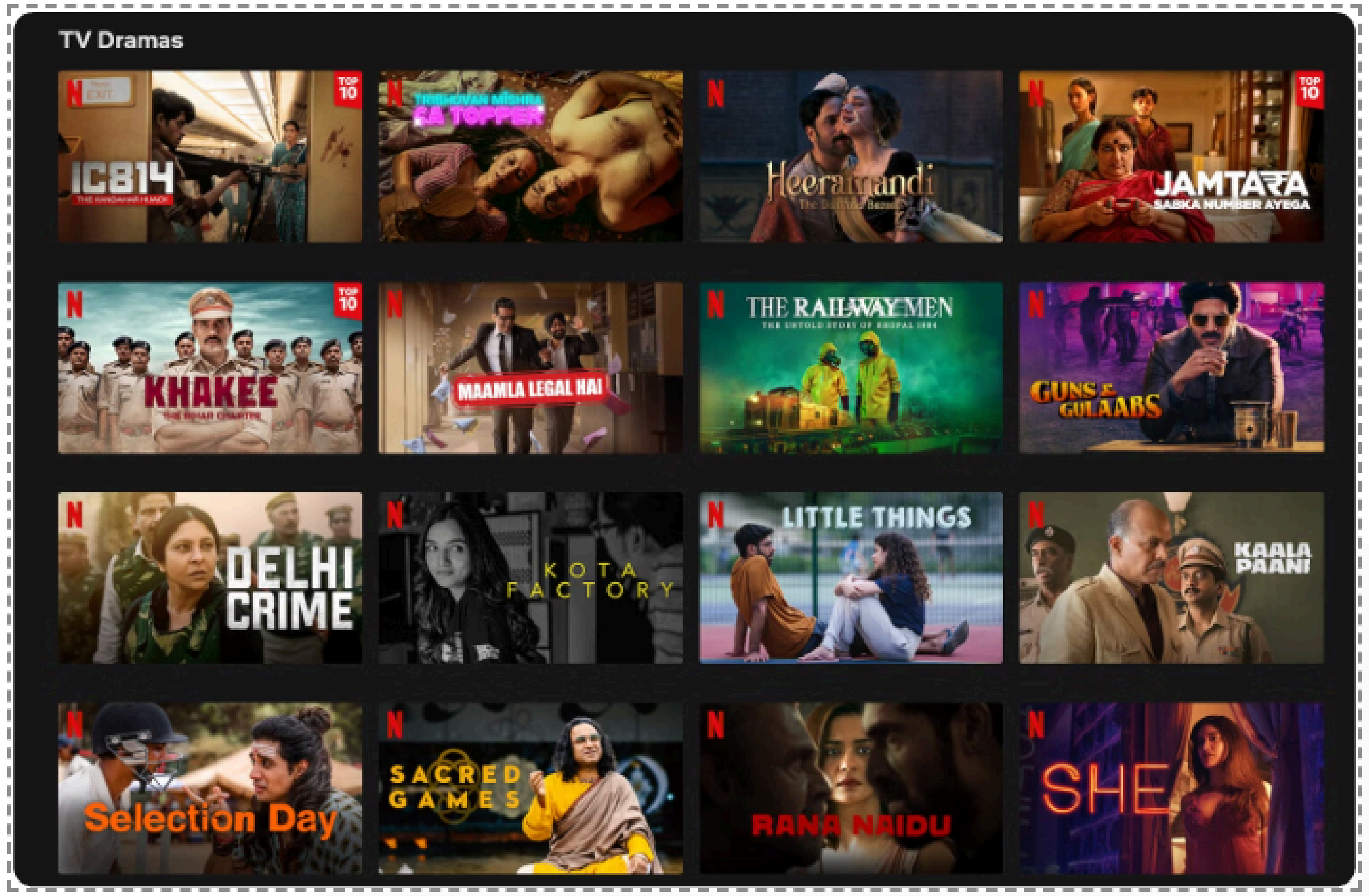
1. Preferences depended on many variable.
2. But nobody went to Netflix when they had a Bollywood movie already in their mind. Or a SOAP opera.
3. People went to Netflix when they were made aware of and hooked by a piece of content via another platform.
4. Where X can be Jamtara (a show) and Y can be a reel from the show posted by Netflix or user generated content.
5. This kind of discovery often led to binge-watching. A term popularized by Netflix itself.
6. For casual daily viewing, people went mainly on Hotstar, Jio or SonyLiv.
7. Other OTTs often posted their most famous shows in chunks which was frustrating to the user.

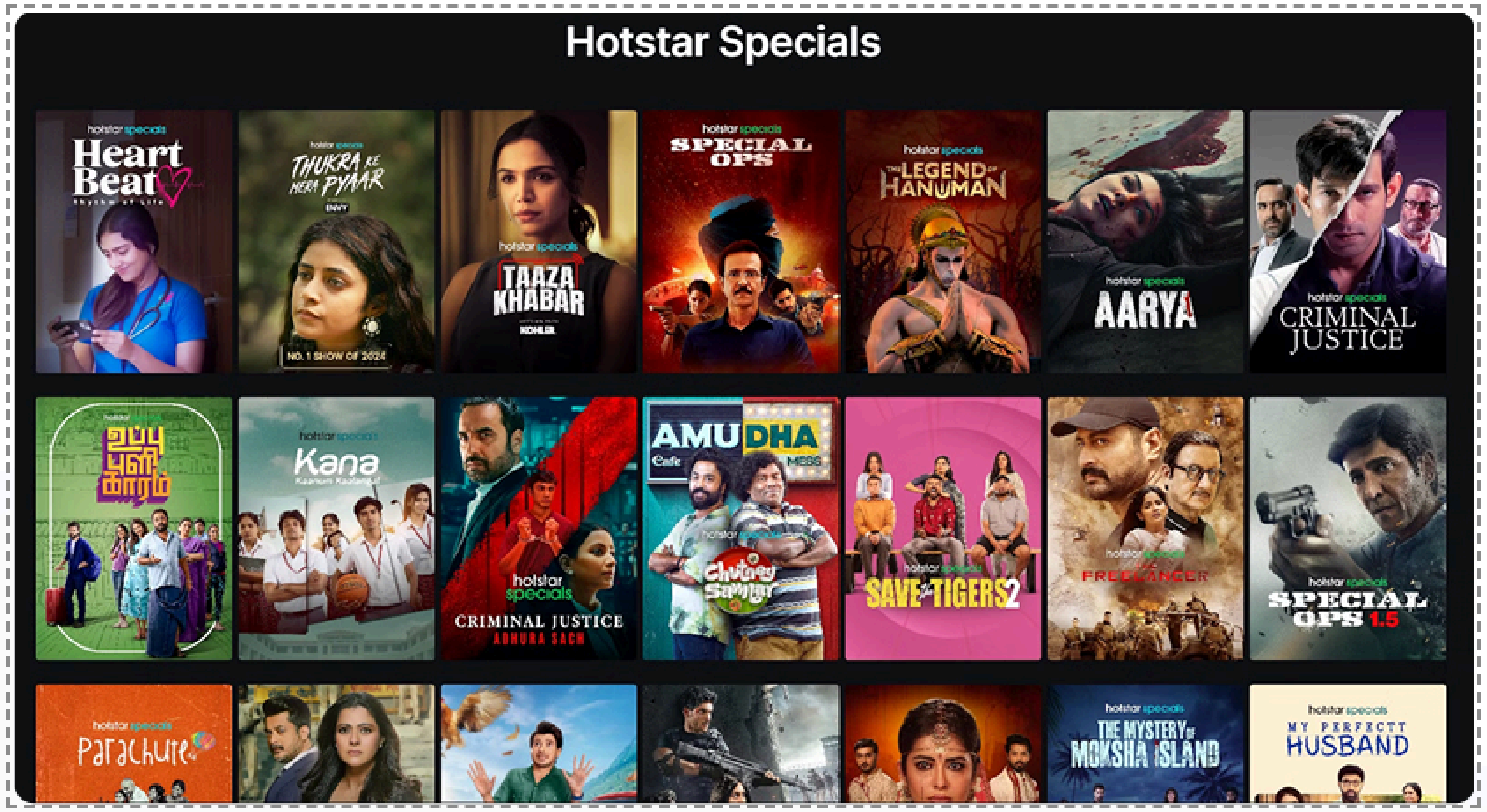
To write it even better.

Netflix is driving acquisition through its content. The Netflix Originals.

Other OTTs are driving acquisition through licensed content increasing their top of the funnel.

Let's look at the 2 screenshots from Netflix Original and Hotstar Special





How many titles from Netflix and from Hotstar are you aware of? Even if you have not watched.

This was the same question I asked my flatmates.
23 y/o working class, paying for Netflix as a leisure, low on time, decent income.

Conclusion: Nobody heard about what Hotstar has created. To all of them, Netflix titles looked way more binge-worthy.

Essentially, count of shows with potential to hook the user is greater on Netflix than any other OTT.

But other OTTs win when it comes to total number of shows in regional and hindi content.

Now the segregation we did in competitive analysis started to make sense.

Netflix has managed to put up a unique positioning…

Netflix's Positioning

Netflix is redefining entertainment with original, high-quality, binge-worthy content that engages discerning viewers seeking a premium, uninterrupted storytelling experience.

Differentiation Through Originals: Netflix focuses on unique, original content rather than heavily relying on licensed regional or generic content.

Binge-Watching Experience: Netflix pioneered the binge-watching model by releasing entire seasons at once, setting it apart from competitors adopting weekly releases.

Premium Storytelling: The emphasis on polished, high-production-value series appeals to an audience that values quality over quantity.

Targeting Niche Audiences: While other platforms use popular regional or live content to attract mass audiences, Netflix positions itself as a platform for curated, story-driven entertainment.

Or simply put. Netflix is the Apple of OTTs

Less BS. High Quality. Insane Retention. Other OTTs are doing everything they can. Sports. Regional. Originals. Live Events. Comedy.

But why is Netflix's revenue still lower than other OTT platforms?
Let's see the first principle of OTTs

Netflix's Present Segment

Affluent

Netflix's target audience in India is primarily affluent, with disposable income for subscriptions.

Megacity Residents

Netflix's user base is concentrated in major cities, where access to high-speed internet is prevalent.

Young Adults to Mid aged

Netflix's target demographic is young adults aged 15-35, who are tech-savvy and enjoy digital entertainment.

Smartness level

If these users are left alone for the first time on airport, they will figure out a way to navigate.

Netflix's First Principle

People want convenient, personalized, and uninterrupted access to high-quality entertainment.

But streaming isn't the only entertainment right?

Breaking down entertainment

Friends get together

Traveling

Parties

Playing Sports

Pursuing a hobby

Digital entertainment

Streaming, Social Media, etc

What's the pattern here?

For the given segment, Entertainment is a function of Freedom. And freedom in turn is a function of Time, Money and Age. For example, a user who is 15 years of age, might have the time, money but due to the age, they might not be allowed to buy a subscription of Netflix.

Also, this 15 year old also doesn't have much freedom for other sources of entertainment, like parties, traveling, etc.

Fundamental Reason behind Netflix's low revenue.

Other OTTs, by reducing the prices and adding huge amount of digital entertainment resources have managed to target more and more no. of users with enough freedom to pursue their source of entertainment. If something costs ₹199, gives almost equal value in terms of entertainment as compared to partying with friends.

Value of entertainment = f(money, age, time, type of entertainment). Other OTTs have designed their value prop in a manner that makes,

Value of entertainment from partying with friends < Value of entertainment by watching a series.

Fundamental Reason behind Netflix's low revenue.

While Netflix, for its positioning and segment, has failed to do the same. Netflix isn't competing with Hotstar. It has to compete with other sources of entertainment of its target. Gen Z, for example, spend 2.5 hours daily on social media. Or the segment mentioned above spends time with friends, partying, pursuing a hobby almost every weekend.

Netflix needs to increase the perceived value of its entertainment when compared to other sources of entertainment in the eyes of its target.

Netflix's segment is spending so much time on other sources of entertainment.

Including social media being the most direct form of digital entertainment.

The real problem

For the given segment, Netflix's primary competitor, on freedom of time, is social media platforms, price is not even an issue. The reason social media is winning as a source of entertainment is, as humans we are designed to be social. Social media platforms have mastered the art of fulfilling our need for social connection, the third tier of Maslow's hierarchy of needs.

While Netflix with its amazing storytelling, hooking and binge-worth content managed to tap on the esteem needs, it has failed in front of social media platforms. The belongingness need is still to be tapped. Watching a show on Netflix is still an extremely isolated experience when compared to entertainment on social media.

Netflix can either change the segment. Cut the prices.

Or make their existing segment feel their perceived value as much as social media.

What is the solution?

Netflix's acquisition happens through social media awareness about the content. The buzz gives the user the need to belong to the community by watching the show.

Revenue = Average subscription plan price * (rr*Paid subscribers at T-1 month + New subscribers gained in T month)

rr = retention rate

How might we make people feel the sense of belongingness while watching Netflix to increase new subscribers gained and retention metrics in order to increase our revenue?

The solutions.

Imagine this…

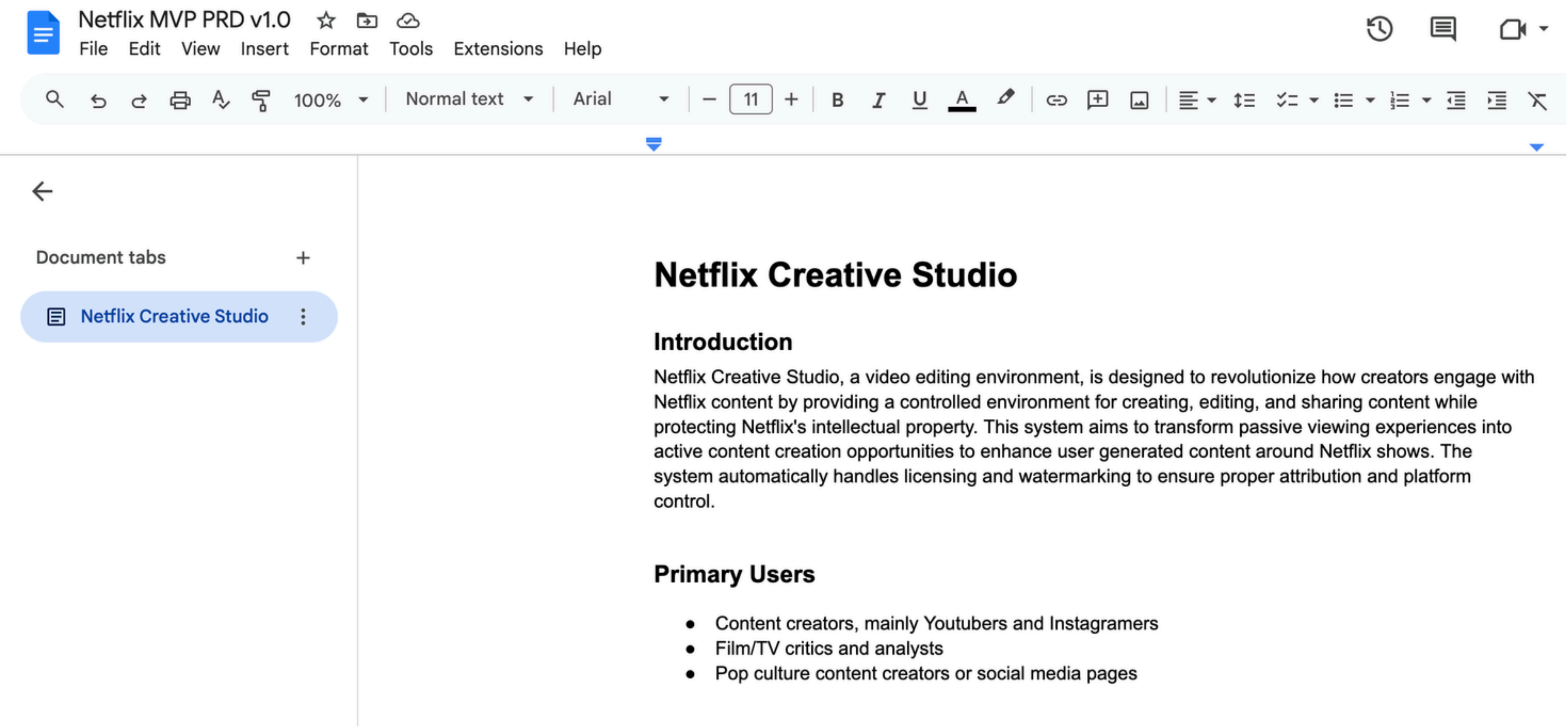
You're watching Netflix's new hit show, but not alone, you're watching alongside thousands of fans and your favorite creator who's reacting, laughing, talking right in front of you. Let's call it Watch Party with Creator. And creator can make money too based on revenue sharing model.

The solutions.

Imagine this…

A creative studio that lets creators create content around Netflix shows, be it reactions, commentary, remixes, or a new type of storytelling.

Detailed PRD



Netflix Creative Studio

Introduction

Netflix Creative Studio, a video editing environment, is designed to revolutionize how creators engage with Netflix content by providing a controlled environment for creating, editing, and sharing content while protecting Netflix's intellectual property. This system aims to transform passive viewing experiences into active content creation opportunities to enhance user generated content around Netflix shows. The system automatically handles licensing and watermarking to ensure proper attribution and platform control.

Primary Users

- Content creators, mainly Youtubers and Instagramers
- Film/TV critics and analysts
- Pop culture content creators or social media pages

Netflix MVP PRD v1.0

Netflix Creative Studio Introduction Netflix Creative Studio, a video editing environment, is designed to revolutionize how creators engage with Netflix…

Why did I choose this product?

- **From the Netflix's investor website:**
  - Netflix is a global streaming entertainment service offering movies, TV series and games, with unlimited viewing on any internet-connected screen for an affordable, no-commitment monthly fee. Netflix is a focused passion brand, not a do-everything brand: Starbucks, not 7-Eleven; Southwest, not United; HBO, not Dish.

- **2.7 lakh crores in revenue. Profitable. Doing just right amount of investment in content to stay profitable.**
- **80% of the users find shows from its recommendation engine.**
- **0 ads.**
- **93% of the content on Netflix is a success.**
- **Personal: I am someone with extremely low amount of attention when it comes to streaming. It took me 2 years to watch GOT. Netflix is the only platform which managed to keep me subscribed. All because of its content.**